

Mitra SL

Disciplinary Policy & Procedure

Scope	This policy is meant to give guidelines & instructions to all employees and other persons who may be concerned or involved, either directly or indirectly in whatsoever capacity in a Progressive Corrective Action (PCA). The decision on any matter not covered by the rules shall be taken by the Head of HR who will obtain directions from the Segment Head where necessary.	
Policy Measurement	– Average time taken to take corrective action. – 100% compliance and adherence	
Definitions	Company	Mitra Innovation Private Limited, and its Associate companies.
	Discipline	A condition in which the employees of the Company adhere to the rules, regulations, standards and the Standard of Business Conduct as stipulated by the Company and conduct themselves accordingly with the acceptable standards of behavior.
	Misconduct	An act inconsistent with the expected disciplinary standards and or an act which has a material bearing on the smooth and efficient functioning of the Company. These acts are considered unacceptable behavior by the Company. Any type of misconduct will warrant disciplinary action through the informal or formal procedure. Misconduct will be two types; minor and major offenses.
	Minor offences	An offence which does not have a material bearing on the Company operations and conduct that could be altered/ corrected with minimum effort and are not serious in nature. However, the repetition of such offenses could constitute it to be a major offense.
	Major offences	Offences which have a material bearing on the Company operations are deemed to be major offences. Such offences should be dealt through in a more serious manner, where the repercussions are severe.

	Witness	An individual who is able to provide first-hand information in connection to the particular situation either due to being present at the scene or hearing relevant information and is willing to provide an attestation.
Responsibility	Head of HR	To ensure the effective implementation of this Policy and Procedure, directly and/or by delegation to specified members of the HR Division.
	Management who will be involved in the process	- Ensure that the principles of the policy and procedure are followed accurately. - Corrective actions to be taken as soon as the misconduct/s is detected. - Gather all information as per the deadlines set out in the procedure. - Ensure that proper reasons are available for taking action prior to taking the actions. - Explore all avenues available before dismissal. - Ensure that confidentiality is maintained and that matters are conducted in a respectful and dignified manner. - Ensure a fair hearing and that the decisions are taken impartially.
	HR Staff	To effectively implement specified sections of this Policy and Procedure, as delegated by the Head of HR.
	Employees	To strictly comply with the relevant requirements of this Policy and Procedure.

Guidelines	
1.1	The need for disciplinary action arises as a result of any employee committing an act of misconduct by disregarding the laid down disciplinary policy/ procedure and or guidelines set forth in the Letter of Appointment and or the Company Policies in general and or the acceptable standards of behavior.
1.2	Progressive Corrective Action is a process designed to identify and correct employee behavior which deviates from the expected and improves performance problems and behavior that adversely affect one's own performance or interfere with the performance of others or the efficiency of the organization.
1.3	The corrective action process should facilitate two-way communication and solicit a commitment from the employee for improvement through reasoning and clarification.
1.4	The first layer for taking corrective action should be the immediate supervisor in liaison with the HR Business Partner who should attempt to resolve the issue at the initial stage itself.
1.5	The informal disciplinary procedure will be applicable for misconducts identified as "minor offences". The informal procedure is depicted below and the infractions identified as falling under the informal category are given in Annexure 1 (please note that the list is not exhaustive).
1.6	The formal procedure will be applicable for infractions which are categorized as major offences (the procedure is captured below, and misconducts identified are provided in Annexure 2).
1.7 1.8	The Head of HR or a designate of the Senior Management holds the right to execute the policy and procedure and take a decision to resort to any stage of the formal procedure depending on the seriousness of the offence and hence it is not necessary to follow the sequential order. If an employee repeats the same or similar offence which was addressed under the informal procedure and where the progressive correction process has been administered, the offence could be turned into a major offence and instigate the formal procedure.
1.9	If the misconduct is repeated, the company holds the right to suspend the services of the employee with or without remuneration till an inquiry is held. An employee may be suspended for purposes of a disciplinary inquiry.

1.10	The principle of natural justice will be followed to ensure opportunities are given to all parties in concern to be heard. It will include; - Properly informing the employee the case against him/ her - Provide the employee with an opportunity to give out reasons - If there is a possible conflict of interest in the outcome of the case, do not chair proceedings - Ensure un-biases when making a decision
1.11	The corrective measures will be applied in a progressive manner and, however, do not necessarily have to be built on one another. Depending on the severity of the infraction the Head of HR / Senior Management has the sole discretion to opt for any step in the procedure.
Policy Input	
2	• A complaint received about a disciplinary matter or a misconduct of an employee of the Company. • This includes but not limited to violation of company policies, employment acts, and other terms and conditions listed in the Letter of Appointment (LOA)
3	Procedure
3.1	Informal procedure
3.1.1	In the case of minor offences where behavior could be modified/ corrected with minimum effort and corrected through a progressive correction process can be dealt informally.
3.1.2	At the time a disciplinary incident is being reported/witnessed the immediate supervisor should first establish necessary facts and information to make a decision on which type of corrective action is to be taken (the Supervisors are to be familiar with the authority levels).
3.1.3	The immediate supervisor should conduct the informal communication & keep the HR Business Partner and Segment Head informed if required. Minor offences (severity to be decided on a case-by-case basis) and performance lapses to be dealt through informal advice, coaching and counseling, at the first instance, where the behavior improvements expected are clearly communicated to the employee within a period of 02 months.
3.1.4	At the time when it is evident that the misconduct/ performance deviation requires more than mere counseling one can resort to a more serious action such as giving a warning. For a start one can be given a verbal warning.

3.1.5	Prior to substantiating progressive corrective action immediate supervisor should consult the Segment Head and the HR Business Partner Any action taken in connection to the informal procedure should be informed to the Head of HR or designate, details recorded accordingly, including informing the respective employee of the improvements required in writing.
3.1.6	The progressive correction meeting
	A meeting should be conducted, and a clear dialogue should be established between the supervisor and the employee to clearly communicate. - The rule violation/ breach of terms and conditions/ and or performance lapse - Behavior expectations which he/ she failed to meet willfully, persistently or due to incapacity, such as lacking necessary skills and capabilities - Corrective action which will be recommended based on the reason for such misconduct. - The importance of correcting the highlighted problem area within the stipulated time period – 02 months will be emphasized, and a commitment taken from the employee for improvement.
3.1.7	At the time the same lapses/ misconduct/ behavior is repeated within the two-month period or subsequent to the 2 month period a verbal warning should be made again with the intention of encouraging and helping the employee to improve.
3.1.8	If the act is yet again repeated the employee should be issued a written warning by way of informing the Head of HR through a written communication and the following will be communicated to the employee; - The previous instances where the rule/ behavior violation occurred - The details of the discussions held - The communicated expected behavior - The stipulated time period - The current rule/ behavior violation - Expected corrective actions
3.1.9	The warning should also inform the employee that a final written warning may be considered if there is no sustained satisfactory improvement or change
3.2	Formal Procedure
3.2.1	Formal procedure will commence from a written communication.
3.2.2	The Management could make a Decision to suspend the services of an employee at any time when it appears that there has been a material breach of the employment relationship, and the presence of the relevant employee disturbs the smooth functioning of the operations of the function/ Company or the presence of the employee hinders the proceedings in connection with the disciplinary procedure. The suspension will be made subject to pending inquiry.

3.2.3	Suspension
3.2.3.1 3.2.3.2	An employee could be suspended from services depending on the nature of the misconduct. The decision to suspend an employee depends on the severity of the offence, the presence of the relevant employee disturbs the smooth functioning of the operations of the function/ Company or the presence of the employee hinders the proceedings in connection with the disciplinary procedure. Such a decision will be informed to the employee in writing. An employee could be suspended at the time of detecting the misconduct/ during the preliminary investigation or subsequent to issuing the show cause letter. A suspension, pending completion of inquiry, may take any of the following forms: - Suspension on paid/nonpaid (according to Senior Management discretion) - Temporary transfer of the employee (to another Practice/Segment/ workplace) However, to suspend an employee (pending inquiry) the following criteria will be considered; - The seriousness of the alleged infraction - The actual and potential impact of the alleged infraction - The nature of the work and responsibility of the person - The circumstances under which the infraction took place - Proper recommendations and authorization should be obtained prior to suspending the services of an employee.
3.2.4	Preliminary investigation
3.2.4.1	Where an act of misconduct has been reported, which warrants disciplinary action, the first step will be to obtain written statements from the witnesses. The statements should be preferably written by the witness himself. If not possible the statement could be recorded, and signature obtained on the statement after permitting him/ her to read the statement. The statements taken from the witnesses should ideally be in their own handwriting and if not recorded by an authorized inquirer and obtain signatures.
3.2.4.2	If there are articles related to the action, they should be clearly preserved, marked and sealed to avoid allegations of introduction at a later time.
3.2. 4.3	The investigations will be carried out by a panel selected by the Head of HR
3.2.4.4	The preliminary investigation report, together with the observation, charges etc. should be forwarded to the Head of HR at the time of winding up the investigation. The preliminary investigation to be completed ideally within 5 working days from the date of commencing. However, this may extend based on the nature and severity of the case.

3.2.4.5	Guidelines for conducting a preliminary investigation - Gather information as much as possible by obtaining statements from witnesses and authenticating them by obtaining signatures at a time where the accused/ witnesses did not provide information in their own handwriting. - Take possession of all material in connection to the case at hand and take into custody. – Items taken to be sealed and signatures obtained - The investigating officers to make observations depending on the evidence available and provide findings to Head of HR - Identify all persons involved in the misconduct - At a time when it is proved that misconduct has taken place sanction to be decided based on the findings and the decision will be taken by the Head of HR in consultation with Segment Head and Managing Director
3.2.5	Show Cause Letter / Charge Sheet
3.2.5.1	Consequent to the preliminary investigations if sufficient information exists to indicate that an offence has been committed by the accused a show cause letter/ Charge sheet will be issued. The letter may include the details pertaining to the misconduct – in brief, i.e. Nature, date, time, and incident. If employee has given a written statement already that should also be attached. In addition, it should include the charges against the accused and request an explanation.
3.2.5.2	The employee will be given 3 working days to reply with a suitable explanation and failing to do so the Management holds the right to conclude that the accused has no explanation to offer and proceed with the investigations. At a time where an extension is required to send an explanation such request will be entertained at a time where it is considered as reasonable.
3.2.5.3	If an explanation letter is given by the accused employee, a formal communication will be made to the employee through HR informing whether the explanation is acceptable or not. At a time where the explanation is acceptable for all charges, no action shall be taken and the relevant employee will be informed accordingly in writing. However, if the explanation is not satisfactory for certain charges, the company will proceed with disciplinary actions on charges limited to unsatisfactory explanation At a time the explanation is unsatisfactory the Management holds the right to resort to a domestic inquiry.
3.2. 6	Domestic Inquiry Procedure
3.2.6.1	A domestic inquiry will be held at a time where the explanation given by the accused is not reasonable or at a time where there is no explanation. However even at a time where the accused admits the charges against him the Management could resort to a domestic inquiry to establish facts.

	The accused should be informed in writing the details pertaining to the inquiry including – Date and time – Request for the presence of him/herself and the witness if available – If absent the proceedings to be made ex-parte – Bring an observer (The accused is entitled to bring in an observer on his behalf at the inquiry. The observer however cannot participate in the proceedings). however, bringing an observer needs to be pre-approved by the inquiring committee- Optional. – when appropriate and allowed by the inquiring committee the accused employee may bring witnesses
3.2.6.2	The domestic inquiry is carried out by a pre-selected panel (appointed by Head of HR) with a view to ascertain the facts fully and collect necessary evidence on the offense. (The selection decision will take into consideration the position of the relevant employee). The inquiring officers will be from the Management and always above the rank of the accused. A third party could be brought in at the sole discretion of the management as and when necessary. No person who is a witness or a complainant will be made to be an inquiring office. Nor an employee who is the immediate superior of the accused employee or has any connection whatsoever on any basis.
3.2.6.3	The details pertaining to the domestic inquiry should be clearly communicated to the employee and request his/ her presence at the time of inquiry with witnesses as well, if any. At a time of absence, the inquiry may be carried out ex-parte.
3.2.6.4	In no circumstances an accused employee will be allowed to be represented by an outsider.
3.2.6.5	The statements made by the witnesses should be duly signed and authenticated.
3.2.7	Inquiry Procedure
3.2.7.1	The inquiry begins with the inquiring officer reading out the charges against the accused. At that time the employee is to plead not guilty or not in respect to the charges against him/her.
3.2.7.2	If he/ she pleads guilty then the accused should be asked to provide a statement in that connection.
3.2.7.3	If the accused pleads not guilty then the inquiry will commence by recording the evidence against the accused on behalf of the Company.

3.2.7.4	The accused employee will be given an opportunity to cross examine all the witnesses who have given evidence on behalf of the Company. Thereafter the inquiring officer will be given an opportunity to re-examine the evidence.
3.2.7.5	Evidence should be recorded in direct speech. All witnesses should be given an opportunity to read what has been recorded and obtain signatures accordingly confirming it is true and correct. The inquiring officer should countersign the evidence as well.
3.2.7.6	At the end the accused employee should be provided with an opportunity to lead evidence.
3.2.7.7	If the recorded evidence is in a language other than what is comfortable or familiar to the witness, then a verbal translation should be provided. The inquiring officer should confirm that the witness has understood the content either by reading or through verbal translation.
3.2.7.8	If an accused has refused to give evidence or provide evidence, it should be noted.
3.2.7.9	At the end of the proceedings of the inquiry the accused should sign and confirm that the inquiry took place in a fair and just manner.
3.2.7.10	All records should be duly completed and stored in a safe and confidential place after each hearing.
3.2.8	Findings
3.2.8.1	The Inquiring Officer should, after winding up the inquiry process, submit a report to the Head of HR which should contain the observations and conclusions together with the reasons for such decision. The findings will be then forwarded to the Segment Head and Management for guidance and in deciding upon the measure to be taken.
3.2.9	Sanction
3.2.9.1	The Head of HR along with Segment Head with guidance from the Management shall decide the corrective action to be imposed following established precedents in the Company and keeping to the requirements of fairness and consistency. A comprehensive list of corrective actions in order of gravity is indicated in Annexures below.

3.2.9.1	The sanction shall be communicated in writing to the accused by the Head of HR. Before meeting out the corrective actions, a variety of circumstances, such as length of service, position of the employee, his past records etc. should be taken into consideration.
3.3	Recording evidence
3.3.2.	- All documents pertaining to the disciplinary procedure should be duly signed and dated by the accused, inquiring officer/s, supervisor, Segment Head and the Head of HR. - The employee should be provided with a copy of written warning or any other document which is being given for the signature of the employee and obtain acknowledgment of receipt of the corrective action. Include comments/ views/ at the conclusion. - Proceedings of each day to be duly signed and recorded then and there. - The employee's personal file will be updated with the relevant documents pertaining to the procedure. - At the time an employee refuses to acknowledge a document or refuses to abide by the corrective actions enforced it should be clearly communicated to HR Business Partner by the immediate supervisor. The accused employee or any other person on his / her behalf need not be present when any statements are recorded from the witnesses prior to the inquiry. He / she has a right however, to be present when the item is in his / her charge etc. are verified so that he / she signify that the verification of the item was done in her / his presence and results accepted by him / her or when productions have to be taken and sealed in his / her presence for the purpose of identification later on.
	Punishments / Outcome
	Based on the findings of the above inquiry set forth, the company will take appropriate actions against the employee if he/she found guilty. The outcome may lead to termination of employment based on the severity of the offence.
3.4	Appeal Procedure (Optional)
3.4.1	If a party is not satisfied with the decision of the panel that party may appeal to the Managing Director of the company in writing within 07 days of the decision of the panel being communicated to that party. However, the appeal should be brought forward with solid facts and figures that should be worthy of re-investigation. If an appeal brought forward does not contain any valid information for re-investigation such appeals will not be reconsidered. Grievances will not be entertained at this stage. If no appeal is made within the time-frame set out above, the decision of the Panel shall be final and conclusive.

3.4.2	With the instructions from the Managing Director, HR Business Partner and Head of HR will review the case and inform the decision to the appellant. The decision shall be treated as final and conclusive in so far as the Company is concerned and further appeal will not be entertained at any ground.
3.3.1	All action taken from issuing the verbal warning should be properly documented immediately after any proceeding.

Policy Output	Disciplinary Action as appropriate to the offense.
Policy Records	Show Cause letter Inquiry report
Policy Monitoring	Human Resource Audits conducted Annually

VERSION CONTROL

S. No	Ver No	Release Date	Prepared By	Approved by	Reasons for New Release
01	1.0	01-Jan-20	Duwaan Maheandran	Dananjaya Hettiarachchi	Initial Release - Updated Policy
02	1.01	14-Mar-24	Christina Kumar	Irosha Perera	Minor Changes - Updated Policy

ANNEXURE – I

Acts of Misconduct

Annexure 1

Infractions falling under the informal disciplinary procedure

Infraction	Disciplinary action
Sleeping on the job	Informal chat/ verbal warning/ written warning
Damaging company property	Informal chat/ verbal warning/ written warning
Poor attendance	Informal chat/ verbal warning/ written warning
Breach of confidence	Informal chat/ verbal warning/ written warning
Discourtesy to clients	Informal chat/ verbal warning/ written warning
Over-utilizing the lunch break	Informal chat/ verbal warning/ written warning
Dressing in an unprofessional manner	Informal chat/ verbal warning/ written warning
Failing to maintain and safe -guard company equipment and property	Informal chat/ verbal warning/ written warning
Engaging in work not related to tasks assigned	Informal chat/ verbal warning/ written warning
Poor/ below standard work performance	Informal chat/ verbal warning/ written warning
Failure to comply with safety and health guidelines	Informal chat/ verbal warning/ written warning
Updating personal information without HR permission	Informal chat/ verbal warning/ written warning
Not disclosing information that can have an impact on the company's wellbeing	Informal chat/ verbal warning/ written warning
Display of abusive behavior toward employees/ customers	Informal chat/ verbal warning/ written warning
Concealing work related accidents/ mistakes/ concerns	Informal chat/ verbal warning/ written warning
Refusing/ not completing the medical check ups	Informal chat/ verbal warning/ written warning
Refusal to attend to performance discussions	Informal chat/ verbal warning/ written warning

Note :

The list is not exhaustive. Any employee breaching any company regulation policy or procedure, work regulation will be subject to the disciplinary procedure. If corrective action is not taken by the employee, the above cases may lead the way towards a formal disciplinary procedure based on severity

Annexure 2

Infractions falling under the formal disciplinary procedure:

Infraction	Disciplinary action
Theft	Warning letter/ suspension/ dismissal
Fraud	Warning letter/ suspension/ dismissal
Fighting/provoking / inciting a fight	Warning letter/ suspension/ dismissal
Threatening	Warning letter/ suspension/ dismissal
Non disclosure of judicial convictions related to pre-employment and within employment periods	Warning letter/ suspension/ dismissal
Insubordination	Warning letter/ suspension/ dismissal
Availing unauthorized leave	Warning letter/ suspension/ dismissal
Destruction of company property/ vandalism	Warning letter/ suspension/ dismissal
Negligent or intentional misuse of IT systems (including violation of IT policies)	Warning letter/ suspension/ dismissal
Record falsification	Warning letter/ suspension/ dismissal
Disclosure of company information	Warning letter/ suspension/ dismissal
Conflict of interest	Warning letter/ suspension/ dismissal
Sexual harassment	Warning letter/ suspension/ dismissal
Discrimination (based on gender, race, color, body image)	Warning letter/ suspension/ dismissal
Impersonate	Warning letter/ suspension/ dismissal
Incitement	Warning letter/ suspension/ dismissal
Encourage another employee(s) to misbehave/misconduct	Warning letter/ suspension/ dismissal
Malingering - faking an illness or incapacity as an excuse for absence or non performance.	Warning letter/ suspension/ dismissal

Negligence of duty Warning letter/ suspension/ dismissal Sabotage and attempting to sabotage Warning letter/ suspension/ dismissal
Abuse by use of offensive language Warning letter/ suspension/ dismissal Giving false evidence Warning letter/ suspension/ dismissal
Distributing any printed or written materials (including online) Warning letter/ suspension/ dismissal without appropriate authority
Desertion Warning letter/ suspension/ dismissal
Violation of non-disclosure agreement Warning letter/ suspension/ dismissal
Bribery Warning letter/ suspension/ dismissal
Accepting undue favors Warning letter/ suspension/ dismissal
Trading prohibited products Warning letter/ suspension/ dismissal
Intoxication Warning letter/ suspension/ dismissal
Possession, use or sale of illegal drugs Warning letter/ suspension/ dismissal
Altering documents of the company or documents given by the Warning letter/ suspension/ dismissal company for personal purposes
Gambling within the premises Warning letter/ suspension/ dismissal
Possession, use or sale of weapons Warning letter/ suspension/ dismissal
Leading or convincing other employees to engage in breaching Warning letter/ suspension/ dismissal company policies and procedures.
Organizing unauthorized gatherings during work hours and within the Warning letter/ suspension/ dismissal company premises
Acts which cause harm to the smooth functioning of the company Warning letter/ suspension/ dismissal operations
Mishandling or careless treatment of customers Warning letter/ suspension/ dismissal
Note : The list is not exhaustive. Any employee breaching any company regulation policy or procedure, work regulation will be subject to the disciplinary procedure.